CAMBRIDGE
International Education

Cambridge O Level

ACCOUNTING **7707/22**

Paper 2 (Structured) **October/November 2025**

MARK SCHEME

Maximum Mark: 100

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2025 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

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Generic Marking Principles

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always **whole marks** (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

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GENERIC MARKING PRINCIPLE 5: Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen).
GENERIC MARKING PRINCIPLE 6: Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

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Social Science-Specific Marking Principles
(for point-based marking)

1 Components using point-based marking:

- Point marking is often used to reward knowledge, understanding and application of skills. We give credit where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. We do not give credit where the answer shows confusion.

From this it follows that we:

a DO credit answers which are worded differently from the mark scheme if they clearly convey the same meaning (unless the mark scheme requires a specific term)
b DO credit alternative answers/examples which are not written in the mark scheme if they are correct
c DO credit answers where candidates give more than one correct answer in one prompt/numbered/scaffolded space where extended writing is required rather than list-type answers. For example, questions that require *n* reasons (e.g. State two reasons …).
d DO NOT credit answers simply for using a 'key term' unless that is all that is required. (Check for evidence it is understood and not used wrongly.)
e DO NOT credit answers which are obviously self-contradicting or trying to cover all possibilities
f DO NOT give further credit for what is effectively repetition of a correct point already credited unless the language itself is being tested. This applies equally to 'mirror statements' (i.e. polluted/not polluted).
g DO NOT require spellings to be correct, unless this is part of the test. However spellings of syllabus terms must allow for clear and unambiguous separation from other syllabus terms with which they may be confused (e.g. Corrasion/Corrosion)

2 Presentation of mark scheme:

- Slashes (/) or the word 'or' separate alternative ways of making the same point.
- Semi colons (;) bullet points (•) or figures in brackets (1) separate different points.
- Content in the answer column in brackets is for examiner information/context to clarify the marking but is not required to earn the mark (except Accounting syllabuses where they indicate negative numbers).

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3 Calculation questions:

- The mark scheme will show the steps in the most likely correct method(s), the mark for each step, the correct answer(s) and the mark for each answer
- If working/explanation is considered essential for full credit, this will be indicated in the question paper and in the mark scheme. In all other instances, the correct answer to a calculation should be given full credit, even if no supporting working is shown.
- Where the candidate uses a valid method which is not covered by the mark scheme, award equivalent marks for reaching equivalent stages.
- Where an answer makes use of a candidate's own incorrect figure from previous working, the 'own figure rule' applies: full marks will be given if a correct and complete method is used. Further guidance will be included in the mark scheme where necessary and any exceptions to this general principle will be noted.

4 Annotation:

- For point marking, ticks can be used to indicate correct answers and crosses can be used to indicate wrong answers. There is no direct relationship between ticks and marks. Ticks have no defined meaning for levels of response marking.
- For levels of response marking, the level awarded should be annotated on the script.
- Other annotations will be used by examiners as agreed during standardisation, and the meaning will be understood by all examiners who marked that paper.

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Annotations guidance for centres

Examiners use a system of annotations as a shorthand for communicating their marking decisions to one another. Examiners are trained during the standardisation process on how and when to use annotations. The purpose of annotations is to inform the standard isation and monitoring processes and guide the supervising examiners when they are checking the work of examiners within their team. The meaning of annotations and how they are used is specific to each component and is understood by all examiners who mark the component.

We publish annotations in our mark schemes to help centres understand the annotations they may see on copies of scripts. Note that there may not be a direct correlation between the number of annotations on a script and the mark awarded. Similarly, the use of an annotation may not be an indication of the quality of the response.

The annotations listed below were available to examiners marking this component in this series.

Annotations

Annotation	Meaning
	Indicates a point which is relevant and rewardable
	Indicates a point which is inaccurate/irrelevant and not rewardable
BOD	Used when the benefit of the doubt is given in order to reward a response
A	An extraneous figure or item in the statement
OF	Own figure
SEEN	Indicates that content has been recognised but not rewarded
REP	Indicates where content has been repeated.

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Question	Answer	Marks
1(a)	Zac Cash book – bank columns +**(1)** for dates	**7**

Date	Details	$		Date	Details	$	
March 31	Balance b/d	825	**(1)**	March 23	Electricity	936	**(1)**
20	Zoe	310	**(1)**	25	Bank charges	58	**(1)**
30	Interest	45	**(1)**	31	Balance c/d	186	
		1180				1180	
April 1	Balance b/d	186	**(1)OF**				

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Question	Answer	Marks
1(b)	Zac Bank reconciliation statement at 31 March 2025 $ $ Balance shown on bank statement (1 665) **(1)** Add: Amounts not yet credited – cash and cheques 1 210 **(1)** Bank error 1 121 **(1)** 2 331 666 Less: Amounts not yet presented – AC Motors (480) **(1)** Balance shown on updated cash book 186 **(1)OF** **Alternative presentation** Balance shown on updated cash book 186 **(1)OF** Add: Amounts not yet presented – AC Motors 480 **(1)** 666 Less: Amounts not yet credited – cash & cheques 1 210 **(1)** Bank error 1 121 **(1)** (2 331) Balance shown on bank statement (1 665) **(1)OF**	**5**
1(c)	**Advantages** (**Max 3**) Identifies stale cheques sooner **(1)** Errors in the cash book identified sooner **(1)** Errors on the bank statement identified earlier **(1)** Amounts not credited/presented can be identified earlier **(1)** Accurate bank account balance available more regularly **(1)** Deters / may reduce fraud **(1)** **Disadvantages (Max 3)** Time consuming / increased workload **(1)** More costly **(1)** More transactions to record/completed more frequently **(1)** The cash book needs to be updated more often **(1)** **Accept other valid responses.** **Recommendation (1)**	**5**

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>1(d)</td><td>A cheque is returned unpaid by the bank / which the bank refuses to pay (1)</td><td>1</td></tr>
<tr><td>1(e)</td><td>
<table>
<tr><td colspan="3">Zac
Journal</td></tr>
<tr><td>Details</td><td>Debit
$</td><td>Credit
$</td></tr>
<tr><td>Ali</td><td>128 (1)</td><td></td></tr>
<tr><td>Bank</td><td></td><td>128(1)</td></tr>
</table>
</td><td>2</td></tr>
</table>

Question	Answer	Marks
2(a)(i)	Suspense **(1)**	**1**
2(a)(ii)	Allows draft financial statements to be prepared / provides a holding account until errors are discovered **(1)**	**1**

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>2(b)</td><td>
<table>
<tr><td colspan="4">Jaya
Journal</td><td></td></tr>
<tr><td>Error no.</td><td>Details</td><td>Debit
$</td><td>Credit
$</td><td></td></tr>
<tr><td>1</td><td>Distribution costs</td><td>320</td><td></td><td>(1)</td></tr>
<tr><td></td><td>Bank</td><td></td><td>320</td><td>(1)</td></tr>
<tr><td>2</td><td>Inventory</td><td>0</td><td></td><td></td></tr>
<tr><td></td><td>Suspense</td><td></td><td>0</td><td></td></tr>
<tr><td>3</td><td>Suspense</td><td>190</td><td></td><td>(1)</td></tr>
<tr><td></td><td>Sales returns</td><td></td><td>95</td><td>(1)</td></tr>
<tr><td></td><td>Purchases returns</td><td></td><td>95</td><td>(1)</td></tr>
<tr><td>4</td><td>Suspense</td><td>225</td><td></td><td>(1)</td></tr>
<tr><td></td><td>ABC Wholesalers</td><td></td><td>225</td><td>(1)</td></tr>
<tr><td>5</td><td>Property maintenance</td><td>1 220</td><td></td><td>(1)</td></tr>
<tr><td></td><td>Land & Buildings</td><td></td><td>1 220</td><td>(1)</td></tr>
</table>
</td><td>9</td></tr>
<tr><td>2(c)</td><td>Commission (1)
Complete reversal (1)
Omission (1)
Original entry(1)
Principle (1)
Compensating (1)
Max 2</td><td>2</td></tr>
</table>

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Question	Answer	Marks
2(d)		**7**

Profit for the year			
Error	Overstated $	Understated $	No effect
1	*320*		
2		700 **(2)**	
3		190 **(2)**	
4			0 **(1)**
5	1220 **(2)**		

(2 Marks) = **(1)** for correct position **(1)** for correct amount

Question	Answer	Marks
3(a)		**4**

	$	
Cost	80 000	
Depreciation for the year ended 30 April 2022	16 000	**(1)**
Net Book Value	64 000	
Depreciation for the year ended 30 April 2023	12 800	**(1)**
Net Book Value	51 200	
Depreciation for the year ended 30 April 2024	10 240	**(1)OF**
Net Book Value	40 960	
Depreciation for the year ended 30 April 2025	8 192	**(1)OF**
Net Book Value	32 768	

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>3(b)</td><td>Advantages (Max 1)
Matches cost with revenue (1)
Appropriate when greater benefits are gained from the non-current assets in the early years (1)
May provide a more accurate depreciation / net book value for the asset / non-current asset (1)
Disadvantages (Max 1)
Depreciation has to be recalculated each year / more complicated to calculate (1)
The charge against profits is greater in the early years of the non-current asset’s life (1)
Accept other valid responses</td><td>2</td></tr>
<tr><td>3(c)</td><td><table>
<tr><td></td><td></td><td>$</td><td></td></tr>
<tr><td>Cost</td><td></td><td>80 000</td><td></td></tr>
<tr><td>Depreciation for the year ended 30 April 2022</td><td>16 000</td><td></td><td></td></tr>
<tr><td>Depreciation for the year ended 30 April 2023</td><td>12 800</td><td></td><td></td></tr>
<tr><td>Depreciation for the year ended 30 April 2024</td><td>10 240</td><td>(39 040)</td><td></td></tr>
<tr><td>Net Book Value at 01 May 2024</td><td></td><td>40 960</td><td>(1OF)</td></tr>
<tr><td>Sale proceeds</td><td></td><td>35 000</td><td>(1)</td></tr>
<tr><td>Loss on disposal</td><td></td><td>5 960</td><td>(1OF)</td></tr>
</table></td><td>3</td></tr>
<tr><td>3(d)(i)</td><td>Ahmed
Motor vehicles account
<table>
<tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr>
<tr><td>Date</td><td>Details</td><td>$</td><td></td><td>Date</td><td>Details</td><td>$</td><td></td></tr>
<tr><td>2021
Oct 1</td><td>Bank</td><td>80 000 (1)</td><td></td><td>2025
Feb 1</td><td>Disposal</td><td>80 000 (1)</td><td></td></tr>
</table></td><td>2</td></tr>
</table>

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>3(d)(ii)</td><td>
<table>
<tr><td colspan="6">Ahmed
Disposal of motor vehicles account</td></tr>
<tr><td>Date</td><td>Details</td><td>$</td><td>Date</td><td>Details</td><td>$</td></tr>
<tr><td>2025
Feb 1</td><td>Motor Vehicles</td><td>80 000 (1)</td><td>2025
Feb 1</td><td>Provision for depreciation</td><td>39 040 (1)OF</td></tr>
<tr><td></td><td></td><td></td><td></td><td>Cash</td><td>35 000 (1)</td></tr>
<tr><td></td><td></td><td></td><td>April 30</td><td>Income statement</td><td>5 960 (1)OF</td></tr>
<tr><td></td><td></td><td><u>80 000</u></td><td></td><td></td><td><u>80 000</u></td></tr>
</table>
</td><td>4</td></tr>
<tr><td>3(e)</td><td>Advantages (Max 3)
Saving on hire costs (1)
Improve revenue / profit (1)
Less risk because he has already trialled it / hired for short period (1)
Increases non-current assets (1)

Disadvantages (Max 3)
A larger recovery vehicle which will cost more than a smaller vehicle (1)
Hire costs will have to be paid for six months (1)
Interest charges on loan (1)
Bank may not agree the loan / may require some form of security / loans have to be repaid (1)
Proceeds from sale may have been used elsewhere (1)

Accept other valid responses.

Recommendation (1)</td><td>5</td></tr>
</table>

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>4(a)</td><td>
<table>
<tr><td>Ratio</td><td>Improved or Deteriorated</td><td>Possible reasons for the change</td></tr>
<tr><td>Return on Capital Employed (ROCE)</td><td>Deteriorated</td><td>Introduction of additional capital/loans
Profit for the year decreased.</td></tr>
<tr><td>Gross margin</td><td>Improved }</td><td>Sold goods at higher prices (1)
Bought goods at cheaper prices (1)
Improved rate of trade discount received (1)
Max 2</td></tr>
<tr><td>Profit margin</td><td>Deteriorated }(1) both</td><td>Increased expenses (1)
Other income decreased (1)
Percentage of expenses to revenue increased (1)
Decreased sales volume / revenue (1)
Max 2</td></tr>
<tr><td>Rate of inventory turnover (times)</td><td>Improved }</td><td>Increased demand (1)
Less goods purchased / lower closing inventory (1)
Reduced selling prices leading to higher sales (1)
Max 2</td></tr>
<tr><td>Liquid (acid test) ratio</td><td>Deteriorated } (1) both</td><td>Increased trade payables / current liabilities (1)
Decreased trade receivables / bank /cash (1)
Max 2</td></tr>
</table>
</td><td>10</td></tr>
</table>

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>4(a)</td><td>
<table>
<tr><td>Ratio</td><td>Improved or Deteriorated</td><td>Possible reasons for the change</td></tr>
<tr><td>Return on Capital Employed (ROCE)</td><td></td><td></td></tr>
<tr><td>Gross margin</td><td>Deteriorated</td><td>Sold goods at lower prices (1)
Bought goods at higher prices (1)
Lower rate of trade discount received (1)
Max 2</td></tr>
<tr><td>Profit margin</td><td>Improved</td><td>Decreased expenses (1)
Other income increased (1)
Percentage of expenses to revenue decreased (1)
Increased sales volume / revenue (1)
Max 2</td></tr>
<tr><td>Rate of inventory turnover (times)</td><td>Deteriorated</td><td>Decreased demand (1)
More goods purchased / higher closing inventory (1)
Increased selling prices leading to lower sales (1)
Max 2</td></tr>
<tr><td>Liquid (acid test) ratio</td><td>Improved</td><td>Decreased trade payables / current liabilities (1)
Increased trade receivables / bank /cash (1)
Max 2</td></tr>
</table>
Please note that the ‘Own Figure Rule’ applies to this question.
</td><td></td></tr>
</table>

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>4(b)</td><td>
<table>
<tr><td colspan="8">A Limited
Provision for doubtful debts account</td></tr>
<tr><td>Date</td><td>Details</td><td>$</td><td></td><td>Date</td><td>Details</td><td>$</td><td></td></tr>
<tr><td></td><td></td><td></td><td></td><td>2024
April 1</td><td>Balance b/d</td><td>6 920</td><td>(1)</td></tr>
<tr><td>2025
March 31</td><td>Balance c/d</td><td>11 970</td><td></td><td>2025
March 31</td><td>Income statement</td><td>5 050</td><td>(1)OF</td></tr>
<tr><td></td><td></td><td>11 970</td><td></td><td></td><td></td><td>11 970</td><td></td></tr>
<tr><td></td><td></td><td></td><td></td><td>2025
April 1</td><td>Balance b/d</td><td>11 970</td><td>(1)</td></tr>
</table>
</td><td>3</td></tr>
<tr><td>4(c)(i)</td><td>It is an estimate of the amount which a business will lose in a financial year because of irrecoverable debts. (1)</td><td>1</td></tr>
<tr><td>4(c)(ii)</td><td>Prudence (1)
OR
Matching (1)</td><td>1</td></tr>
</table>

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Question	Answer	Marks
4(d)	**In favour of delaying payment to trade payables (Max 3)** Able to purchase the equipment at a cheaper price **(1)** No finance costs **(1)** No need to source other methods of finance **(1)** No security required **(1)** **Against delaying payment to trade payables (Max 3)** Damage supplier relations / not supply goods **(1)** Increased interest payments **(1)** Loss of any cash discounts **(1)** May not be sufficient cash available to pay for the equipment **(1)** Other sources of finance available **(1)** **Accept other valid responses** **Recommendation (1)**	**5**

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Question	Answer					Marks
5(a)	GH Company Manufacturing Account for the year ended 31 March 2025					**13**
	Cost of materials consumed	$		$		
	Opening inventory			21 700	*	
	Purchases			280 050		
				301 750		
	Less closing Inventory			16 400	**(1)* both**	
				285 350	**(1)**	
	Operatives wages			241 200	**(1)**	
	Prime cost			526 550	**(1)OF**	
	Factory Overheads					
	Factory Supervisors salaries	48 240	**(1)**			
	Rent and rates (10 060 × 60%)	6 036	**(1)**			
	Electricity charges (9 344 / 8 * 5)	5 840	**(1)**			
	Insurance (18 400 × 50%)	9 200	**(1)**			
	Factory General expenses	27 640	**(1)**			
	Depreciation of machinery (427 000 – 187 000) × 15%	36 000	**(1)**			
				132 956		
				659 506	**(1) OF**	
	Work in Progress					
	Opening Work in Progress			83 440	**	
				742 946		
	Closing Work in Progress			92 510	**(1)** both**	
	Cost of Production			650 436	**(1) OF**	

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Question	Answer	Marks

5(b)

GH Company Trading section of the Income Statement for the year ended 31 March 2025				
	$		**$**	
Revenue			1 107 272	**(1)**
Cost of sales				
Opening inventory finished goods	76 370	*		
Cost of production	650 436	**(1)OF**		
Purchases of finished goods	122 430	**(1)**		
Carriage in	2 242	**(1)**		
	851 478			
Less closing inventory of finished goods	49 660	**(1)*** both	(801 818)	**(1)OF**
Gross profit			305 454	**(1)OF**

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